WEPROM EUROPE

BUSINESS PROMOTION AND DEVELOPMENT BETWEEN EUROPE AND LATIN AMERICA

May - July 2026

QUARTERLY REPORT

Trade, investment, and regulations that are redefining the Europe-Latin America corridor.

Paris, France

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WEPROM QUARTERLY ANALYSIS

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The Quarter at a Glance

The economic relationship between Europe and Latin America saw its highest level of simultaneous activity in years. Two major trade agreements moved in opposite directions —one advanced toward ratification, the other entered a period of uncertainty— while France and Mexico strengthened their bilateral relationship with concrete investment figures, and other regional players, such as Chile, reaffirmed their strategic weight vis-à-vis Europe. Below are the five points that defined the quarter.

1 The **European Union** completed, on **July 14**, its internal procedure for the conclusion of the **Interim Trade Agreement** with Mexico; the Modernized Global Agreement as a whole remains subject to the corresponding ratification procedures.

2 The **United States** did not confirm a **16-year extension** of the T-MEC/USMCA at its first mandatory joint review (July 1); the agreement remains in force until 2036, but under annual reviews.

3 The EU maintains a network of **six agreements** with Latin America, three of which were particularly active this quarter: **Mercosur** (in provisional application since May 1), **Mexico**, and **Chile**.

4 France and Mexico reaffirmed their strategic partnership as part of the bicentennial of their diplomatic relations, while **Safran** reported that it has allocated more than **US$147 million** to projects in Querétaro and Chihuahua, generating 2,300 jobs.

5 **Twelve French companies** rank among Mexico's 500 most important companies and together generate more than **59,500 direct jobs**, according to the Expansión ranking published on July 13.

1. The Quarter's Backdrop: The CELAC–EU Summit That Set the Stage

Everything that took place between May and July 2026 stems from a political decision made earlier: the IV CELAC–EU Summit, held in Santa Marta, Colombia, on November 9, 2025. It brought together 12 heads of state, 6 vice presidents, 23 foreign ministers, and representatives from 21 international organizations, including Brazilian President Lula da Silva and Spanish President Pedro Sánchez. Ursula von der Leyen, German Chancellor Friedrich Merz, and Emmanuel Macron did not attend in person.

- Concrete outcome: a 52-point final declaration, signed by 58 of the 60 participating countries, which explicitly welcomed the entry into force of the EU's agreements with Chile, Central America, and Colombia–Ecuador–Peru, setting the direct precedent for what would follow with Mexico and Mercosur months later.
- Investment announcements from the European Investment Bank (EIB): US$200 million for a solar plant on Colombia's Atlantic coast, and US$1.1 billion for electricity and water interconnection in Ecuador and Central America.
- Mixed results, according to subsequent analysis (Real Instituto Elcano): the summit did not produce an announcement on ratification of the Mercosur agreement, and the final declaration was described as "lengthy, generic, and light on specifics" by several analysts.
- The next summit of this format: Brussels, 2027. In the interim, the Ibero-American Summit in Madrid (November 2026) will be the next major political milestone between Spain and Latin America.

Source: Presidency of Colombia, Real Instituto Elcano, El Tiempo, El País, El Universal, Casa de América.

2. Macro Outlook: Six Agreements, One European Strategy

The European Union does not concentrate its trade policy on one or two partners: it maintains a network of six agreements or integration processes with Latin America and the Caribbean, at different stages of maturity. The three most active this quarter —and the focus of the rest of this report— are Mercosur, Mexico, and Chile:

- **EU–Mercosur (Argentina, Brazil, Paraguay, Uruguay):** in provisional application since May 1, 2026, following more than 25 years of negotiation. It creates the world's largest free trade area: more than 700 million people, zero tariffs on more than 90% of the bloc's exports, and 99% of Argentina's agricultural exports.
- **Modernized Global Agreement (MGA) Mexico–EU:** signed on May 22, 2026. The European Parliament approved, on July 8, in plenary session, the conclusion of the Interim Trade Agreement (ITA); the EU completed its internal procedure for this instrument on July 14. The ITA could enter into force once Mexico completes its own approval procedure; the Modernized Global Agreement as a whole remains subject to the corresponding ratification procedures, including the 27 national parliaments and the Mexican Senate.
- **Advanced Framework Agreement (AFA) Chile–EU:** already-in-force modernization of Chile's trade framework with the EU, actively reaffirmed this quarter at the 2026 France–Chile Business

Summit.

Takeaway for the ecosystem: no country in the region holds a privileged or exclusive relationship with Europe. Any sales narrative positioning Mexico as a gateway market should acknowledge —and ideally leverage— this context of regional competition for the same European investment.

Implementation of the EU–Mercosur agreement is already surfacing real friction: within Europe, objections persist over agri-food competition and environmental traceability; within Mercosur, the allocation of preferential export quotas in sectors such as rice, honey, eggs, and certain meats remains contested.

The Other Three: Mature Agreements, but With Different Levels of Activity This Quarter

- **Andean Countries:** in force since 2013, covering €33 billion in trade and phasing out tariffs gradually over a period of up to 17 years.
- **Central America:** a trade pillar in force since 2013; the 12th meeting of the Trade Pillar Association Committee (AACUE) took place on June 19, 2026.
- **Caribbean — CARIFORUM:** the oldest of the six agreements (2008); no specific activity was identified during the quarter.

Source: European Commission (EEAS), European Parliament, Council of the EU, Mercosur.int, CCI France Chile, Real Instituto Elcano, Le Monde, Lupicinio, Access2Markets, SIECA, MINCIT.

3. Mexico Focus: May, June, and July

The quarter's three months followed a clear throughline: legal certainty in May, business mobilization in June, and a split outcome —the EU and T-MEC moving in opposite directions— in July.

May — The Month of Signing and Legal Certainty

May 4 — Tax Simplification and Legal Certainty Decrees

As part of the strengthening of Plan México, the government published a package of decrees explicitly backed by the private sector (CCE, Coparmex, Concamin): an end to double taxation, non-retroactivity of tax criteria, faster VAT refunds, and a Single Window for Foreign Trade with immediate investment authorization (30 days for priority projects, 90 days for the rest).

May 22 — Signing of the MGA/ITA With the European Union

At the VIII Mexico–EU Summit (the first in eleven years), signed by Sheinbaum and von der Leyen, with Costa as witness. Impact figures: more than 45,000 EU companies export to Mexico (82% SMEs); 86% of agricultural goods duty-free immediately; COMCE projects bilateral trade growth of up to 35% over five years.

May 14 — Modernized Mexico–France Action Plan

Signed by Foreign Secretary Velasco and Ambassador Borione as part of the bicentennial of diplomatic relations. It announces the first Mexico–France Economic Week for October–November 2026, with more than 2,500 business and political leaders expected to attend.

Source: Office of the President, CCE, Coparmex, Concamin, COMCE, CLG Abogados, Heraldo de México, La Razón.

June — Business Mobilization and Market Investment

A Two-Track Institutional Push: COPARMEX and CCE in Europe

Two separate Mexican business organizations ran near-parallel tours of France and Belgium in the same month.

- **COPARMEX (June 15–21):** more than 10 meetings in Paris and Brussels — MEDEF International, BusinessEurope, OECD, BPI France. Focus: SME competitiveness and innovation.
- **CCE (June 22):** 18 meetings with the same type of organizations. A distinct, explicit focus: reassuring European investors on the future of T-MEC.

Ambassador Borione (June 17) outlined priority French sectors —automotive, aerospace, pharmaceuticals, agri-food, energy, and rail infrastructure— and confirmed upcoming missions at Choose France and VivaTech, as well as the October Economic Week in Mexico.

June Figures

- **US$1,223 million:** French FDI in Mexico in 2025 (a record).
- **US$4,600 million:** investment announced by Mercado Libre for 2026.
- **18 meetings** held by the CCE mission in France and Belgium.
- **3.94%:** annual inflation in Mexico, May 2026.

Source: EFE/Infobae, COPARMEX, Voz de la Sociedad (CCE), Direction Générale du Trésor (France), UDG TV.

July — The Interim Trade Agreement Advances; T-MEC Enters Uncertainty

July was a decisive month: two major trade agreements moved in opposite directions, while the Mexico–France relationship posted concrete investment figures.

The Interim Trade Agreement Advances Toward Ratification

- The European Parliament approved, on July 8, in plenary session, the conclusion of the **Interim Trade Agreement (ITA)** between the EU and Mexico.
- The EU completed its **internal approval procedure for the ITA on July 14**. Its entry into force now depends on Mexico completing its own internal procedure; the Modernized Global Agreement as a whole remains subject to the corresponding ratification procedures.
- EU–Mexico bilateral trade now stands at close to **€100 billion a year**; Mexico is the EU's second-largest trading partner in Latin America.

T-MEC Enters a Phase of Uncertainty

- On July 1, the first mandatory joint review of T-MEC took place (Article 34.7), six years after its entry into force. **The United States did not confirm a 16-year extension of the agreement.**
- The treaty remains in force until 2036, but now under a scheme of **annual reviews** rather than a long-term extension.

- Mexico identified 13 issues or proposals it will raise in the next round of negotiations, scheduled for **July 21** in Mexico City, focused on automotive, steel, and supply chains; these talks have so far taken place without Canada's full participation.

Why It Matters

- Uncertainty in North America is unfolding in parallel with progress on the EU agreement, reinforcing the case for market diversification for Mexico.
- For European companies already established in Mexico, the modernized agreement currently offers a more predictable path to market than T-MEC itself.

France–Mexico: Bicentennial and New Investment

- 2026 marks 200 years of diplomatic relations between France and Mexico. In mid-July, both countries reaffirmed their commitment to strengthening the strategic partnership through a renewed agenda of political, economic, scientific, and cultural cooperation.
- On July 2, President Claudia Sheinbaum met at the National Palace with Safran's CEO, Olivier Andriès, as part of the company's expanding operations —a key supplier to the aerospace industry— in Mexico. Safran reported that it has allocated more than **US$147 million** to projects in Querétaro and Chihuahua, which have generated **2,300 jobs**.
- Twelve companies of French origin are included in Expansión's 2026 ranking of "Mexico's 500 most important companies" (published July 13) — together generating more than **59,500 direct jobs**. For context: roughly 700 French subsidiaries operate in Mexico (~180,000 direct jobs), and France is the largest foreign employer in Mexico's aerospace sector.

Figures of the Month: France in Mexico

- **US$147+ million:** Safran's investment in Querétaro and Chihuahua.
- **2,300 jobs** generated by that investment.
- **12 French companies** in the ranking of Mexico's 500 most important companies.
- **59,500+ direct jobs** generated by those 12 companies.

Institutional Agenda for the Month

- On July 9, Business France held a webinar for French exporters on the concrete impact of the EU's free trade agreements (Mercosur, Chile, and Mexico), in partnership with French Customs, the French Treasury, and the French embassy in Brazil.
- France's ambassador to Mexico, Delphine Borione, previewed the organization of the first edition of **"France Week in Mexico,"** organized by CCI France México and scheduled for October 2026 —the same window announced in May under the Mexico–France Action Plan—, with multiple events celebrating economic ties between the two countries across all sectors.

Dates to Watch

Jul. 9	Jul. 21	Oct. 2026
Business France webinar on free trade agreements	T-MEC/USMCA negotiation round (automotive, steel, supply chains)	First France Week in Mexico (CCI France México)

Additional Regulatory Context

On June 26, **Regulation (EU) 2026/1386** was published, replacing the 2019 regulation and strengthening the screening of foreign direct investment in strategic sectors of the European Union (technology, energy, defense, and infrastructure), with broader notification requirements and greater coordination among Member States. Member States have 18 months from publication to adapt their national mechanisms to the new requirements.

Source: European Parliament, European Commission, Office of the President, Business France, CCI France México, French Embassy in Mexico, Safran Group, Expansión, Official Journal of the EU, USTR.

4. The Other Side of the Atlantic: Germany, Spain, and Italy in the Region

This report's focus is Mexico–France, but reducing "Europe" to a single country would be a misreading: Germany and Spain each maintain their own large-scale relationship with Latin America —in some cases larger than France's— and both were active this same quarter.

Germany — Mexico's Most Important Trading Partner in Latin America

Mexico is Germany's top trading partner in all of Latin America, not merely one among several. More than 2,100 German companies operate on Mexican soil, led by the Mexican-German Chamber of Commerce and Industry (Camexa, founded in 1929).

- March 19–20, 2026: bilateral meeting in Cancún between President Sheinbaum and German President Frank-Walter Steinmeier, at which it was confirmed the Mexico–EU MGA would be signed in May.
- June 5: III plenary meeting of the Mexico–Germany "Alliance for the Future" Binational Commission. Foreign Secretary Roberto Velasco confirmed that Germany is the third-largest foreign investor in Mexico (after the U.S. and Canada).

Spain — The Largest Relative Beneficiary of the EU–Mercosur Agreement

Spain is not the strongest bilateral partner of any single major Latin American country, but according to the Bank of Spain, it is the European country that benefits proportionally the most from the EU–Mercosur agreement that entered into force this quarter.

- April 29, 2026 (Bank of Spain): the Mercosur agreement will reduce effective tariffs for Spain from 9.1% to 1.1%, affecting 1,709 Spanish companies with direct investment in the region.
- 15% of Latin America's total exports to the European Union have Spain as their final destination — the highest share of any country in the bloc.

Italy — A Third-Tier Relationship, but Real Weight in Mexico

Italy did not have an event of the scale of Germany's or Spain's with the region this quarter, but it maintains a steady presence: along with France, Germany, and the Netherlands, it is one of the six European partners that Mexico's COMCE explicitly cites as a priority destination for diversifying Mexican exports under the MGA.

Source: El Financiero, Infobae, La Razón, SRE, Bank of Spain, Mascontainer, COMCE.

5. Regional Outlook: Beyond Mexico

Europe's engagement with the region is not concentrated in a single country. To properly calibrate Mexico's real weight within the European strategy, here is where each of the EU's and France's relevant Latin American partners stood this quarter:

Brazil — The Volume Anchor, the True Benchmark

Brazil holds France's largest investment relationship with any Latin American country: a stock of French FDI exceeding €40 billion, with roughly 1,100 French company subsidiaries operating in the country and 520,000 jobs generated. Brazil was also the political driving force behind the EU–Mercosur agreement that entered provisional application this same quarter.

Argentina — The Most Institutionally Active Country This Quarter

Argentina is experiencing its strongest wave of diplomatic and commercial engagement with Europe in years, driven directly by the provisional entry into force of the EU–Mercosur agreement on May 1.

Chile — The Furthest Along in the Same Process as Mexico

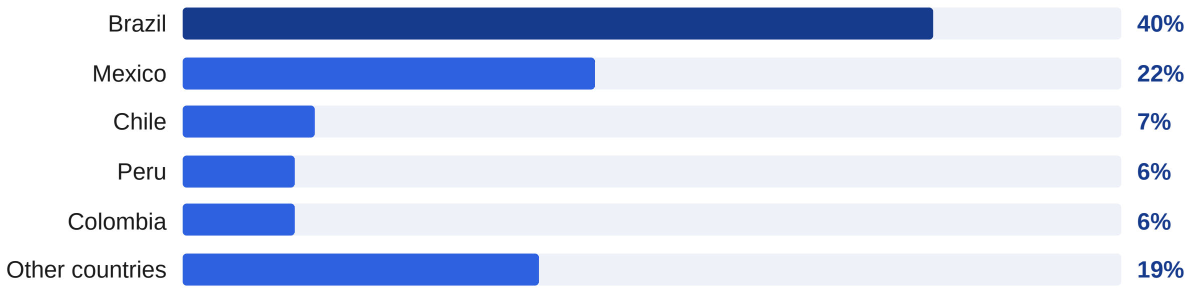
Chile is, today, the most useful mirror for understanding where Mexico's process could lead: its modernized agreement with the EU follows the same two-speed architecture as the MGA, but was signed two years earlier, with its trade component already fully in force since February 2025.

- The trade component already in force raises Chile's preferential tariff coverage from 94.7% to 99.6% of tariff lines.
- Chile also solidified its position as the **world's leading combined exporter of lithium carbonate and hydroxide**, accounting for 46% of global shipments of these products, according to official figures released on July 14. Between January and April 2026, export volume was already 43% higher than in the same period of 2025, with an average export price 91% higher year-over-year in the first quarter.

Colombia — The Region's Oldest Free Trade Agreement, With a Debated Track Record

Colombia holds the longest-standing trade relationship with the EU of the four countries: its free trade agreement entered into force in 2013. The track record is mixed: the EU is the third destination for Colombian exports (13% of the total), and new European regulatory requirements on environmental standards, traceability, and sustainability are creating additional challenges for certain Colombian agricultural products.

FDI Received in Latin America and the Caribbean by Country, 2025



Own elaboration based on ECLAC data. Within "other countries," Guyana (5%), Costa Rica (3%), and the Dominican Republic (3%) stand out.

Source: ECLAC, EEAS, SUBREI/Chilean Ministry of Foreign Affairs, French Ministry for Europe and Foreign Affairs, CCI France Chile, Analdex, Cedetrabajo, Data Portuaria, LexLatin, El Cronista, Government of Buenos Aires.

6. Strategic Takeaways: What This Means for the Quarter Ahead

- The right sales narrative is not "Mexico as the sole destination," but "Mexico within a full region that Europe is actively courting" — with Brazil as the volume anchor and Chile/Argentina as direct competitors on institutional agility.
- The May 4 tax decrees remain the most concrete, recent legal-certainty asset Mexico can offer a European investor — more tangible in the short term than full ratification of the MGA, which will take years.
- The T-MEC review confirmed the expected uncertainty: the United States did not renew the 16-year extension, and the treaty moves to an annual review scheme, with an additional round on July 21 focused on automotive, steel, and supply chains. This outcome, alongside the Interim Trade Agreement's progress toward entry into force, will accelerate —not slow— the diversification narrative toward Europe already used by COPARMEX and the CCE.
- France Week in Mexico (October 2026), organized by CCI France México, is now the confirmed deadline for having qualified prospects ready; Chile's AFA and the France–Chile Summit show that other countries in the region are running a nearly parallel timeline.
- The new European foreign investment screening framework (EU Regulation 2026/1386) is a factor to monitor for any Latin American client considering acquisitions of European assets over the next 18 months.

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